

DBS Group Holdings Ltd SGX:D05

FQ2 2025 Earnings Call Transcripts

Thursday, August 7, 2025 3:45 AM GMT
S&P Global Market Intelligence Estimates

	-FQ2 2025-			-FQ3 2025-	-FY 2025-	-FY 2026-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.96	1.00	▲4.17	0.96	3.90	NA
Revenue (mm)	5679.45	5732.00	▲0.93	5744.31	23002.47	NA

Currency: SGD
Consensus as of Aug-08-2025 3:49 AM GMT

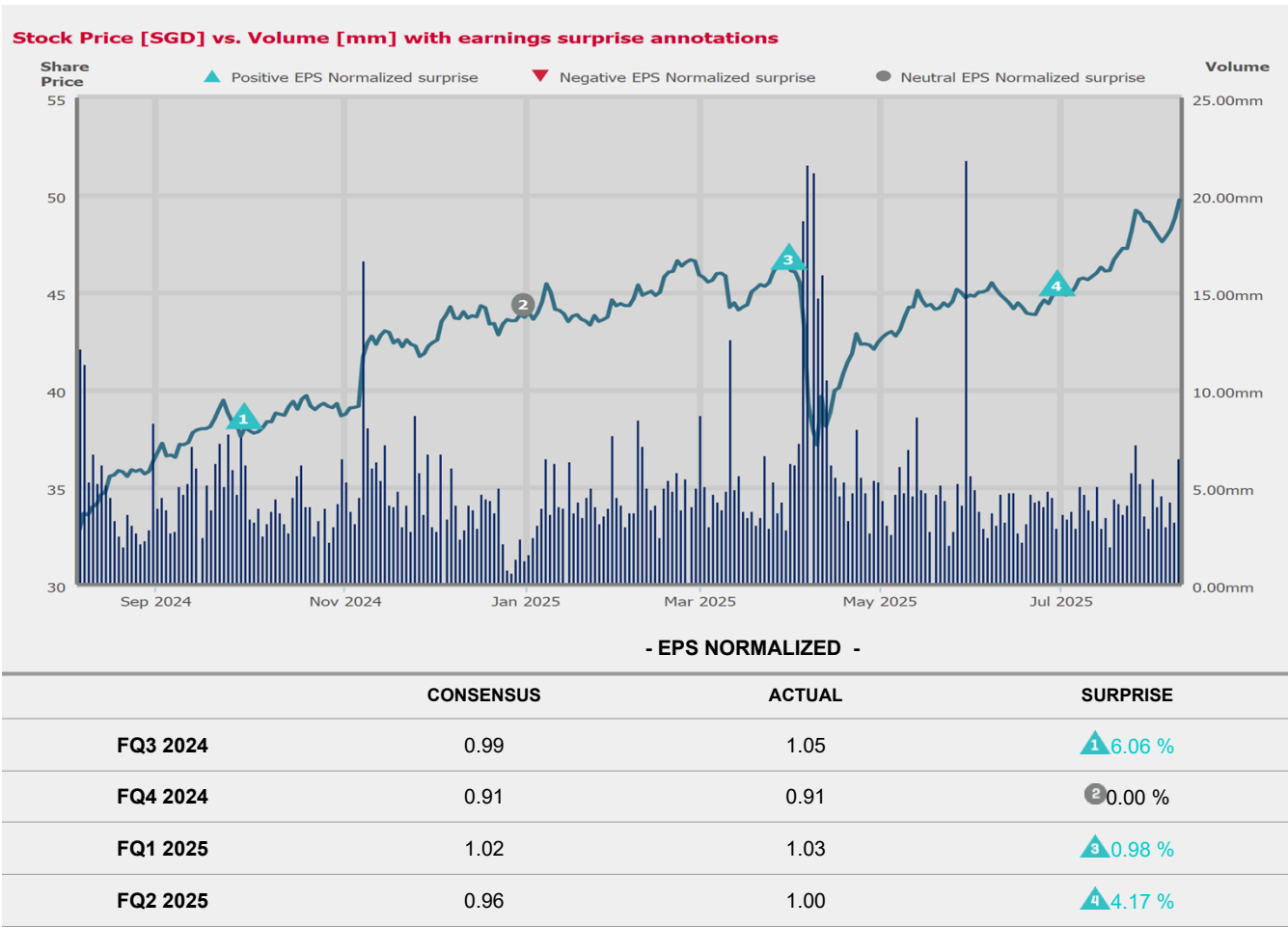


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Call Participants

EXECUTIVES

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Group Corporate Treasurer

Shee Tse Koon

Sok Hui Lim
Chief Financial Officer

Soon Chong Lim
Group Head of Global Transactions Services

Su Shan Tan
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Macquarie Research

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Morgan Stanley, Research Division

Wei Yi Kuang
Goldman Sachs Group, Inc., Research Division

Yong Hong Tan
Citigroup Inc., Research Division

ATTENDEES

Presentation

Benton Jing Hung Yick

Hi, everyone. Welcome to the DBS analyst briefing. You've had the media briefing, so we can go straight to Q&A.

Question and Answer

Benton Jing Hung Yick

So I think the first question we can start with is Yong Hong from Citi.

Yong Hong Tan

Citigroup Inc., Research Division

Can you hear me?

Unknown Executive

Yes.

Yong Hong Tan

Citigroup Inc., Research Division

I will just keep to 3 questions. Firstly, on dividends. So based on the earnings prospects so far, would you remind us on the thinking behind raising your dividends by \$0.24 higher per year and your capital return equivalent of \$0.60 annually across 3 years. Just wanted to get a sense on how confident you are to sustain this? And any update from the MAS on the potential lifting of your penalty on capital in terms of what is asked and what you have delivered?

And second question is on loans. Are you seeing a little bit more opportunities to capture enterprise spending or corporates catching up on IT investment across the regions? And should this be reflected through your volumes growth for the rest of this year?

And finally, on your digital asset slide, could you give us some color on how this flows through your P&L? And also, is this digital asset offering something that is well sought out by your wealth clients? These are all my questions.

Su Shan Tan

Group CEO & Executive Director

Yes. Thank you. So your first question was around dividends. We will answer that. Second question was around enterprise spend. The growth in loans, sorry, I was spinning with stuff. And the third question was around the digital -- the income growth around the digital asset ecosystem, right? Okay. Do you want to do the dividend one, and I'll do the loans one.

Sok Hui Lim

Chief Financial Officer

Yes. This is Sok Hui. So I think we communicated this quarter, we said there was -- our CAR ratio came down by 0.4%. Half of that was just the capital return and share buyback. So consistent with that communication, you'll continue to see that we are committed to the capital return dividend as well as the share buyback over a 3-year period, right? So that you can take as something that we have committed to unless something that is really unforeseen.

And then on the step-up, I think the Board will review every sort of every quarter -- sorry, at the end of each year, that's when we normally do it Q4 to see whether we were lifted by about \$0.06, and that gives you a \$0.24 lift. I think we -- when we look at the trajectory, we should be able to still commit to this year and probably next year.

Su Shan Tan

Group CEO & Executive Director

Yes. So looking at the \$8 billion of stock, right, which we had declared before, \$3 billion was for buybacks and \$5 billion was the capital return. So as you know, we have 3 levels of dividend. One was the core dividend, one is the capital return and one is the share buyback. And in terms of the share buyback, we've done about 12%. In terms of the capital return, we've committed to the \$0.60 for 3 years. That's because it's part of the stock, it's fine. The flow, as long as we are stable on our income, around \$11 billion or so, we can still pay around 60-plus percent of that. So that should be -- it should be fine, I think, depending on where rates land, but I think we can still afford to continue to keep the pace.

The second question was loan growth, forward-looking. Okay. So I think what we are seeing is we are seeing sort of muted growth in Hong Kong and China, but better growth elsewhere. So Singapore is still -- for large corporates, still strong. As I said, the government

land sales program has been pretty active. There's still quite a lot of deals to be done there. There are still TMT data center deals in the pipeline, all quite pretty chunky and pretty solid with hyperscaler off-takers, et cetera. So that's pretty strong. The renewables, especially in the renewable infrastructure as well is strong. Cables and connectivity infrastructure spend is strong.

As you know, we built a PF project finance -- we built a very solid project finance team several years back. So they have been leading a lot of the more complicated deals where we structure, we originate, we set up PPPs and off-takers, and we have ECA coverage around that. So -- and then we're leading a lot of these deals now in the region. And so that's -- again, it's a long-term pipeline, but it's something that we've built over the long term. So in short, we should see continued sort of slow and steady non-trade growth in the IBG business from TMT, real estate renewables and upstream metals and mining, et cetera, and that should mitigate some of the downdraft in Hong Kong and China.

Then the third question was around digital assets. And I think if you look in our annual report, you will see that we make -- we said we made \$13 million in digital assets last year. This year, we're running at more than 3x that. So it depends on where the regulations go in the region and how many players come in. But I'm optimistic that we have and had a head start. My team are all over this. They're talking to all the major players. We're all over the new regulations. And our strategy is to be infrastructure player, but also an exchange. So as you heard me say, we want to originate, issue, list, trade, custodize, do the payments and settlements, [band] the ecosystem, manage the collateral, manage their reserves. And it's a holistic coverage. It's not just, oh, I want to do one thing. It's not just, oh, I want to do stablecoin, so I want to do trading or I want to do listing. It's really the whole suite. And so far, very profitable actually. It's a good business.

Yong Hong Tan
Citigroup Inc., Research Division

Can I just follow up on my first question. Any update from the MAS on the listing of your penalty in terms of what was asked of you and what has been delivered?

Sok Hui Lim
Chief Financial Officer

You mean the OpRisk chart, the multiplier that they applied on the OpRisk charge. So they have not communicated so far on when that will be lifted.

Yong Hong Tan
Citigroup Inc., Research Division

And that's 70 basis points of the RWA, right?

Benton Jing Hung Yick

It's about 0.4% of CET1. Next question from Jayden from Macquarie.

Jayden Vantarakis
Macquarie Research

I was just wondering if you could sort of talk us through the drivers. Is that more point in time because of some hedging? Or has something sort of structurally changed with how...

Benton Jing Hung Yick

Jayden, you came in half way through. Can you repeat the question from the start?

Jayden Vantarakis
Macquarie Research

Okay. Sorry about that. Yes, I just wanted to understand better the non-SGD rate sensitivity. I think during the media briefing, Su Shan mentioned that the sensitivity to a fall in U.S. dollar rates would actually be positive. I just wanted to understand, is that because of some point in time hedging or has something changed? What would be the drivers of that because that seems to be a bit of a difference with the past.

Sok Hui Lim
Chief Financial Officer

So the -- Su Shan?

Su Shan Tan

Group CEO & Executive Director

Yes. Okay. Well, it is -- there is -- it's a snapshot of our balance sheet at that point in time. But we are net -- we have a net total liability of about \$40-odd billion in other currencies, primarily U.S. dollars that is floating. So for us, as long as rates go down, which it hasn't in the U.S. dollar space, that will give us some savings.

Sok Hui Lim

Chief Financial Officer

It's largely in the T&M book. So the GFM book is basically funded on a short-term basis, and that's the bulk of the \$40 billion that we are talking about.

Su Shan Tan

Group CEO & Executive Director

Yes. And obviously, we hope to continue to grow that liability. It's been a war crime for us to keep growing our deposits and whether it's Sing or U.S. dollars, that's a big focus for the team. So then it depends on how much we grow that book by.

Jayden Vantarakis

Macquarie Research

Okay. Just to understand the \$40 billion liability that's floating, how fast could that sort of swing back to an asset? And then another question I had just on the Singapore dollar rates. I think you mentioned that it makes sense to look at them in separate buckets, right, given the whole flow-through has broken down. But what's your assumption on SORA between now and year-end when you think about the guidance to us?

Su Shan Tan

Group CEO & Executive Director

Do you want to take the U.S. dollar one?

Philip Fernandez

Group Corporate Treasurer

Okay. Jayden, this is Phil Fernandez. I'm the Corporate Treasurer. So to pick up on your questions, let me take the U.S. dollar one first. That particular sensitivity, essentially has 2 parts. One as Sok Hui said, within the markets business, we have a sensitivity. We've also put on some central hedges. So those have a duration of about 3 years average, although there is a distribution around that. So I would say it's pretty much structural if you're looking out over a 3-year horizon. So that's point number one.

And your second question was SORA. Okay. Well, SORA has really gone down a lot relative -- the U.S. has not moved and Sing rates, Singapore dollar rates have gone down a lot. We're looking at rates staying at around the current levels, around the 1.7 handle or so, given that a lot of the softness in the rates has really sort of pre-cut the Fed, if I could put it that way. So those are assumptions behind the NII guidance that Su Shan mentioned earlier on.

Su Shan Tan

Group CEO & Executive Director

But as I said, Jayden, the SORA is very, very volatile because a lot of it is driven by the FX. And increasingly also, I think we talk to clients who borrow in Sing dollar. And I think more and more -- I think people want to lock in a rate because they can't deal with the volatility now. So like in the mortgage book people, more of our new clients will say, I think I'll just do a 2-year fix, for example. And I think I won't be surprised in SME, we start to see that trend as well. But they're already doing it through IRSs, right? So because SORA is a lagging indicator of what banks post the night before, and it really is hugely volatile. So it's very hard to predict, to be honest. So I would say then have a view on the exchange rate, better -- I think better we do that and have a view on the forward rates, and then that could be more instructive on where you think SORA can be on average.

Jayden Vantarakis

Macquarie Research

Yes. I was just thinking that if the Sing dollar continued to strengthen, that may put some more downward pressure on it. But thanks a lot for talking through the assumptions and the sensitivity.

Su Shan Tan

Group CEO & Executive Director

Yes. But I guess if the Sing strengthens and it strengthens too quickly and you are the monetary authority, you might do -- it depends on what the MAS does, right? Do they drain? Do they sterilize, whatever. So do -- they change policy? But it also depends on our trade numbers and how we are in terms of our competitiveness versus our peers in the region. So you're right, I mean, if the region currencies go up as a block and our [indiscernible] is affected, then there will -- you will see some corrective action. But generally, it's a double-edged sword, right? You're right. If the Sing dollar strengthens, then yes, Sing rates will be affected adversely.

But if the Sing strengthens, you will also see more flows into Sing. And we are the biggest bank here. So we tend to get more than our fair share of the outsized flow into Sing, which we can then deploy especially if it's cheap. So it's -- as I said in my call earlier, I said you have to -- whatever happens to the same rates, you just have to mitigate. You can't be a sitting duck, right? So -- and then when it's volatile, Phil and the team, Andrew and the team, they will just milk whatever they can from the volatility and try and protect our balance sheet. So build that fortress balance sheet. But as the business, we look at low rates and we go, okay, go on and grab market share, right? Grab market share on deposits, grab market share on wealth, whatever it is, grab market share on dollars, grab market share on AUM and be -- mitigate those FX or rate volatility with volume. Does that make sense?

Benton Jing Hung Yick

Thanks, Jayden. Next question from Nick Lord from Morgan Stanley.

Nicholas Lord

Morgan Stanley, Research Division

A couple of questions from me. First is just on the assets under management on the wealth management business. Can you give us any disclosure on net new money in the quarter? And just any sort of commentary you have about sort of investor appetite? Some of your competitors are saying that Q3 has remained very strong. So just any comments on that. And then just on -- going back on to your comment on the interest rate sensitivity. Just in terms of the hedge, are you -- have you been able to put on more this quarter? Or are we seeing that run down, obviously, as we see hedges roll off? And I guess because we've had an inverted yield curve, you may not have had the same opportunity to lock in, in the last 6 months.

Su Shan Tan

Group CEO & Executive Director

Okay. So on net new money, I think we set the figures just now, right? The net new money for PB/TPC was up \$9 billion, which was outsized. Normally it's \$5 billion to \$6 billion. So we had a very good Q2. Treasures was up about \$2 billion. So total was up about -- for wealth was up about \$11 billion to \$12 -- treasures was up about \$3 billion. So total for wealth was up about \$12 billion. And I also said that Tse Koon and his team were really focusing across the wealth continuum. So it's the high end, but it's also the mid-end, it's also the low end, right? Because there is a structural growth in wealth needs in Asia. And I think the DBS brand as a safe, solid, reliable and digital bank speaks well to our branding. And so there's just structural organic growth there, and we'll continue to grow that. And what was the other question?

Nicholas Lord

Morgan Stanley, Research Division

Hedge, whether you can up the hedge.

Su Shan Tan

Group CEO & Executive Director

The roll-off of the hedges.

Sok Hui Lim

Chief Financial Officer

Yes, so in the first half, we were able to replace about \$29 billion of maturities at a 60 basis points to 70 basis point lift. There will be about the same magnitude of maturities coming in for second half. So I think we can roll over at broadly the kind of similar kind of

yields. And so we have a duration and book is about 2 to 3 years. So that's -- will sustain us for the while that we hope rates are kept low.

Nicholas Lord

Morgan Stanley, Research Division

Okay. Perfect. Can I just ask one more question actually while I got it. Just on the crypto, the digital asset side. And obviously, we're reading lots of stuff about this at the moment. And one of the comments that keeps on coming up is that it can be used as a cheap way to make payments and especially international payments. And I just wondered if you agreed with that because obviously, the source of a lot of those comments is crypto companies. So as a bank, would you agree with that? Or do you think that the existing way you make international payments is cheaper?

Su Shan Tan

Group CEO & Executive Director

Okay. So I will start and then Soon Chong, our Head of GTS can chime in. So at least for Asia, our real-time payment rails actually work, right? So like in Singapore, FAST works, Hong Kong Faster works. India, UPI works. China, we all know how good the day-to-day 24/7 payments. Local domestic rails are actually working quite well. Then you have the cross-border payments, which we have a product called GlobeSend, which maybe we haven't marketed to the analysts enough, but we will. And that's our answer to WISE or Revolut or Monzo, right, which is, again, harnessing what domestic payment rails are. It's cross-border using the current payment rails, but because it's domestic 24/7, you can also effect that very efficiently through ledger transfers and using our cross-border and domestic rails.

So is there a huge use case for tokenization on private chain to work? There is if you have a lot of people that you need to settle with 24/7 or a lot of merchants or a lot of payments and settlements, millions, if you will, yes. But if you just want to do the odd transfer, then no, the current rails work, right? I mean, Soon Chong, you want to chime in? I've got GTS head here.

Soon Chong Lim

Group Head of Global Transactions Services

Nick, thanks for the question. So I think that there are many ways of delivering international payment. And we have a lot of products and services, one of which is what Su Shan mentioned about. For low-value cross-border, we have GlobeSend and a lot of other ways of delivering payments that are cheap, available 24/7, cost effective, [indiscernible] for all our clients. In international payments, I think you're referring to correspondent banking and whether stablecoins might be a replacement for that. I think that for most contacts, large value trust, security, international payments today work. There might be certain contacts today whereby the payment delivery mechanisms don't fully do the work, and there's been talk about whether stablecoin could be a use for that. I think there are a lot of piece and parts. A lot of it will be regulations. whether there's going to be adoption, how the compliance is going to work, so on and so forth. We are closely monitoring the space to look at the context whereby international payments can be improved. We're able to capture a good share of economics from those activities.

Su Shan Tan

Group CEO & Executive Director

But Nick, I think where it could serve a purpose is if you live in a country where you don't have a stable currency. So if you live in Latin America or Africa and you want to buy goods from JD or Alibaba or -- and whatever, then having a stablecoin to pay for your supplies from Asia would be helpful, right? But you then need to on-ramp and off-ramp it. You need to send money to -- with U.S. DC or whatever into Hong Kong dollar stablecoin, which then goes off-ramp into RMB, right? So there is a use case there, which we want to work in as well. So there are opportunities kind of tying maybe more the emerging market trade-related flows where they don't have a stable currency themselves. But I can't see governments kind of rushing to facilitate that because that flies in the face of monetary policy management for these countries, right?

So as Soon Chong said, we have to monitor the regulations. We're a regulated bank. We'll play where we're allowed to play. But we see opportunities in the infrastructure and being a trusted partner for the big players, the sanitized players, if you will. And we see also opportunity in the overlay stuff, right, whether we talked about the structured notes or OTC derivatives or custody or listing or whatever it is on-ramp, off-ramp. We see a lot of opportunities in that, and that is very scalable. That business is very scalable. So that's something my team and I want to continue to grow in line with the regulations.

Benton Jing Hung Yick

Next question from Harsh from JPMorgan.

Harsh Wardhan Modi*JPMorgan Chase & Co, Research Division*

Okay. Great. So a couple of questions. First is, I just wanted to understand the payout slightly better. I understand volume over margins, but volumes comes with RWA growth. And right now, at least till 2027, we are paying out 75%, right, about \$4 of EPS, around \$3 of payout. So if we end up getting RWA growth plus there's buyback on top of it, the question is, how much are we comfortable with 2 things, the 60 becoming 66%, does it only go up the regular dividend in 4Q '25 or 4Q '26 also is a given now with such a big rate move? And then second, how do we think about the actual minimum CET1 that we would get to organically, let's say, over the next 2 years?

Su Shan Tan*Group CEO & Executive Director*

So he's asking about the dividend. So you're asking about the ability to step up the dividend in the fourth quarter, right?

Harsh Wardhan Modi*JPMorgan Chase & Co, Research Division*

4Q this year -- so 2 questions. 4Q this year and next year because if I remember correctly, last quarter, at least my read of your or Sok Hui's comments was that \$0.06 increase in December '25 will happen and even FY '26 will happen. And then what is the CET1 if we end up getting faster RWA growth over, let's say, next 2 years?

Su Shan Tan*Group CEO & Executive Director*

Yes. The RWA growth we factored in would eat up about...

Sok Hui Lim*Chief Financial Officer*

So harsh, can I try to understand your question. So I think we -- you're talking about the step-up, right? And I think if we do some simulation, we are okay. We're stepping up \$0.06 end of this year. I think based on some simulation, we should be comfortable stepping up \$0.06 in 2026. But it's harder to call if we look further out because there are just too many moving parts, right? So we have to see how much of the RWA growth will be needed and what kind of payout ratio it will imply from our organic growth and earnings.

Su Shan Tan*Group CEO & Executive Director*

Yes. But I think your question on RWA step-up. So I think -- yes, that will happen as our loan growth goes up alongside deposit growth. But it's important to also realize that our deposit growth delta is much higher now. And a lot of that spare deposits being deployed into MAS bills in HQLA, which is no RWA. So it's actually ROE accretive and doesn't absorb RWA. So -- and it gives us more earnings, right? So that's the other prism to take. But yes, granted, I mean, if Sing dollar rates collapse and that is going to be a big headwind. If there's a war, that will also be a big headwind, right? So we'll have to see at that time in place. But I think to Sok Hui's point, 2025, 2026, we're probably okay. We simulated with flat earnings between now and then that we can probably pay that \$0.06 step-up in the next -- this year and next year.

Harsh Wardhan Modi*JPMorgan Chase & Co, Research Division*

Right. So on a fully phased in, we are at 15.1% and minimum where we would be comfortable with, let's say, 2 years out is 14% -- let's say if it starts hitting early 14s, is it still okay to keep that payout going?

Sok Hui Lim*Chief Financial Officer*

Yes, 14.3% is still above our management operating range guidance of between 12.5% to 13.5%.

Harsh Wardhan Modi*JPMorgan Chase & Co, Research Division*

Okay. Great. The second question is on the private banking flows. So 2 questions. One, are you seeing more flows in Singapore dollar versus, let's say, U.S. dollar? Has there been any shift with dollar weakening? And second, how much -- what proportion of your portfolio is now discretionary management and how has that changed over, let's say, last 3 to 4 years?

Su Shan Tan

Group CEO & Executive Director

So the inflows of deposits, right? Yes. So for Sing dollar, the year-to-date system grew by \$47 billion, and we kept our share of that. So we were up year-to-date, SGD 20 billion. Foreign currency year-to-date, we were -- year-to-date system was plus \$51 billion, and we grew by \$8 billion.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Right. So you're getting a bigger share of Sing dollar, which should be. But are your clients shifting from USD to Sing D was the question effectively?

Su Shan Tan

Group CEO & Executive Director

You're seeing on the margin, some shift. Certainly -- but the Sing itself for international investors is not -- other than you buy the SGX and ETF or whatever, it's still not a natural liquid currency yet. But for some of the PB clients, yes, you are seeing a shift -- a reduction in the U.S. dollar overweight, you are.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Makes sense. And sorry, on the discretionary portfolio, what proportion of your AUM is there? And how is that changing?

Su Shan Tan

Group CEO & Executive Director

Discretionary portfolio.

Shee Tse Koon

Yes. So the PB side discretionary portfolio, we have seen quite a strong growth as well. So now we've crossed \$11 billion already of our AUM.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Okay. So still small. Okay. And...

Su Shan Tan

Group CEO & Executive Director

No, but that's just our own managed. But if you take all the third-party funds and all there will be much more.

Shee Tse Koon

Of course. Yes. So if you're talking about discretionary as in our own, yes, then there's \$11 billion. With third-party funds, that's actually been growing quite robust.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Right. Maybe I'll reach offline for that. And the one technical question, exit NIM, what is it?

Su Shan Tan

Group CEO & Executive Director

For June or July?

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Give me both.

Su Shan Tan

Group CEO & Executive Director

Yes, you want both. I knew you're going to say that. So it was 1.95% for June -- 1.98% for June and 1.95% for July.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

All right. All right. And final question on digital assets. One of the biggest -- one, do you have deposits on public blockchain or not yet? Or is it still on private permission blockchain?

Su Shan Tan

Group CEO & Executive Director

Private permission blockchain.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Has MAS regulation evolved where you can...

Su Shan Tan

Group CEO & Executive Director

We did one agent ago on the Polygon chain.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Yes, but that was an experiment, right?

Su Shan Tan

Group CEO & Executive Director

Project.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Yes. Okay. But have you gone commercial? Or are you looking to go commercial with a public blockchain tokenized deposit?

Su Shan Tan

Group CEO & Executive Director

Depends on regulations, Harsh. It's hard to say, never say never. But as I said, I don't -- a lot of regulators are still -- still want to control their monetary policy, right? So right now, a lot of the flows are still on permissioned blockchain. It's the bank to client closed-loop system.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Yes. No, the reason I'm asking that is exactly that because Singapore is pro blockchain, but not pro crypto.

Su Shan Tan

Group CEO & Executive Director

Correct.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

And the biggest institutional users of on/off-ramp are the large crypto players, like someone might bring crypto ETF and all of that. And if the regulation is not there, then while you have one of the best-in-class capability, you are kind of limited to high-net-worth or very small group of players. So Hong Kong is moving ahead, U.S. has moved ahead. Is there a risk that Singapore kind of gets left out? Or is there some kind of way to be relevant in the DLT world without exposing retail guys to crypto? And what are your conversations with MAS? Because seems -- Singapore seems to be kind of getting behind on that.

Su Shan Tan

Group CEO & Executive Director

Yes. It's a very timely and very good question, and we've been engaging them constantly and daily. And certainly, when Hong Kong MA came out with their ordinance that I suspect that may have also put some pressure on us. But we play in both markets, right? We're both in Singapore and Hong Kong. We're also actively looking at ADGM. So -- and other than high-net-worth, we also provide services to the crypto natives and the market makers and the institutional players. So I think MAS is okay if we do B2B. They're just not okay if we do B2C or to be specific, they're not okay if we do B2 retail C, they're okay if we do B2 A credit type investors.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Yes, B2B2C.

Su Shan Tan

Group CEO & Executive Director

Yes. So -- and the irony is, yes, I mean, the B2B is also B2B2C ultimately. But as long as we're not in that B2C chain, I think they're okay. So the B2B flows are growing actually. They are growing. And I see opportunities for us to continue to grow that. whether Singapore or Hong Kong or potentially Abu Dhabi, we'll see. It's all -- Harsh, it's moving very quickly now. But as I said, we've developed or developing the muscle to play in the whole chain, and we've got to figure out what's the low-hanging fruit that we can build on. We've built already, as you know, we've done -- because we've done so well this year, I said to the team, "Hey, guys, let's not waste our head start. Let's continue to build on what we can be good at, right?" And I don't want to do this too quickly and then fall further below and not do this correctly.

So I'd rather do this slowly but surely and be that trusted banking partner because you're going to see the volatility and you're going to see some, I think, some bad players emerge again. And we want to make sure we don't fall into that trap. But I do think there will be rising demand for a good player to play in the infrastructure, and I want that good player to be us. So we have the ambition and we have the ability, and we just have to continue to execute.

Sok Hui Lim

Chief Financial Officer

Harsh, can I just add one thing? You asked about exit NIM in June and July. I will say that, frankly, you should expect actually some slight decline, some marginal decline, partly because we are bringing in so much deposits. And the deposits that we are bringing in actually gives us additional net interest income. We deploy them at a margin of more than 1% and actually it's quite good business. So the key here is that we are focused on NII growth. But whatever we bring in can be accretive to NIM and be accretive in some sense, which doesn't worry us. You know what I mean? So we are focused on bringing more deposits. The deposits come in, they don't earn the 2% margin that we have, say, in the second quarter. But it's something that we are focused on doing.

Benton Jing Hung Yick

Thanks, Sok Hui. The next question is from Melissa from Goldman.

Wei Yi Kuang

Goldman Sachs Group, Inc., Research Division

Just on this AUM and deposit growth that you're having, just a little bit -- we want to just understand a bit like the numbers are pretty high, as you mentioned, versus your peers. Just wanted to -- is it more market share gains? Is it just that the amount coming into Singapore is very large, and that's why we are seeing the SORA fall as well? Or is it some of it -- a large part of it is coming from your Taiwan business that you're doing very well in? Can we get just a bit of color of this high growth?

Su Shan Tan

Group CEO & Executive Director

Melissa, it's not just Singapore, it's Hong Kong, it's China. It's actually across the board. Chinese flows into Hong Kong have been remarkably strong. And our team in Hong Kong has done a really good job, both in the priority and private bank to get more than their fair share. And Singapore continues to be -- to grow, but the flows are also very international and very mixed. Then we also have the flow back from people who don't want to buy SGS or treasury bills, right? And that requires a lot of work, but we do a hell of a lot of AI, machine learning and modeling to make sure that when every one of these bills mature, we're there to nudge them to bring their money back to us, right? So that's all the work that we need to do to keep our deposit share and growing.

And is it structural? I do think it's structural. I do think families are realizing that they need to plan, they need to structure. They need to do more. And so our team has just focused on make sure you're in, in the estate planning. So your first conversation has to be, have you thought about the future, have you planned? And once you structure, so you go in, you do the wealth planning, you do the insurance for the children, their grandchildren. You do a trust structure if you need to, for the low end, you don't need to. Then once you're in and you can finance the ULI or whatever, you are in, it's very, very sticky. Then after that, the wealth fees will start to come in.

And I was looking because Harsh also asked the question, Tse Koon might have the answers on the AUM, but I was looking at how much more we're making now on discretionary, which is third-party funds and in-house discretionary. The first half of last year, we made \$200 million. This year -- this first half, we're making \$230 million on that. So I think it's growing by some 15% or so year-on-year. And the percentage of recurring income is about 15% as well. So -- but bancassurance is growing even more. Bancassurance is growing by very high double-digit growth. And that's also very long term and sticky.

So it's all down to the strategy and execution. If you can bring in the new clients, first, it comes in as net new money, then you structure it into estate planning, trust and insurance, then you layer in the funds, third-party funds, in-house funds, you overlay with FX, interest rates and structures and equities or bonds, whatever they want to do, then you have a solid wealth offering. And the key is to keep the continuum. You don't just focus on the top end, you focus at the retails, focus before they get rich. Then as they get richer, they do more with you. And they don't have to change the RM, they have to change the UX. It's all in the same wealth app, right? So that's key.

Wei Yi Kuang

Goldman Sachs Group, Inc., Research Division

Right, right. Just in terms of this -- so would you say like more than half of the new AUM this quarter came from Hong Kong? And also between Hong Kong and Singapore, in terms of the AUM deployed, is it -- is Hong Kong more like then put into deployment in terms of the mix versus in Singapore? Would you say they're roughly equal?

Shee Tse Koon

Actually, our AUM growth, I would say, has been very broad-based, right? So we have got 2 booking centers in Singapore and Hong Kong. Hong Kong is primarily really booking for North Asia, which includes customers from Hong Kong, Taiwan, China, right? A lot of these clients, because of their own business interest, et cetera, et cetera, have also a whole bunch of offshore wealth that's being created. And so that's kind of where we get a lot of the net new money as well as the investments AUM growth from. Singapore is definitely bigger because Singapore is a center not just for North Asia, but also for Southeast Asia, for Middle East, North Africa, South Asia as well as for Europe, right? So because of that, Singapore is bigger.

Su Shan Tan

Group CEO & Executive Director

Yes. Melissa, I think to just follow on what Tse Koon said, the world is getting very fragmented and bifurcated and people are looking for backup plans or insurance policies, right? So the U.K. after the resident non-dorm laws came out, there was an exodus of funds, some of it went to Dubai. Some came to Singapore. Similarly, if the Swiss inheritance tax laws are passed, then you might see an exodus as well from Switzerland. So there's a lot of money moving around financial centers right now. And I do think that structurally, Singapore can play to win and structurally DBS can play to win. But we need to continue to invest, and that's what the team is doing. Tse Koon and the team are continuing to invest in getting good people to bring in this new growth path.

But I think the way we're doing it, right, start with domestic, start with the wealth continuum and then build strong wealth centers in all our core markets. So China, we have a strong wealth center. Hong Kong, we have one big wealth center. We're building another one. And the number of walk-in customers from China is just amazing. So I think having that and then Singapore, of course, our headquarters is also strong. And then looking at other growth corridors as well. That's the plan.

Shee Tse Koon

I think what -- if I may just add, what you're asking as well, it's not just about net new money but AUM growth. Of course, certainly, in this kind of first half of the year, we did see a rebound of the market in Hong Kong, right? So a lot of the Chinese stocks in Hong Kong, we have seen a rebound. And on the back of that, indeed, we have seen customers actually deploy a fair amount of that. So the good thing is that today, we are seeing both -- I mean, a resilient kind of play between that market as well as the U.S. market. So we -- because of the rebound, yes, indeed, we have seen an AUM growth on that front. But the AUM growth is not necessarily just booked in Hong Kong because likewise, we would have clients who are booked in Singapore with AUM holdings on those Hong Kong-based securities, right?

Wei Yi Kuang*Goldman Sachs Group, Inc., Research Division*

Right. I think a next question on asset quality. It has been a very good run so far on asset quality despite what's happening in the world. I just wanted to get a sense from you, is there anywhere we should be worried on, what we should be aware of? Or do you think we are on a good path for the next 1.5 years?

Su Shan Tan*Group CEO & Executive Director*

Melissa, I don't want to be complacent. So we continue to stress test like mad, anything coming new, not new, we just stress test it. We've been very, very conservative, maybe too much so. So especially in China and Hong Kong, we've been very conservative on real estate there, very conservative in Hong Kong, very conservative in SME, very conservative in consumer unsecured loans. So we've been very conservative. A lot of our asset growth is really in the large corporates, in MMC, in technology, software companies, data centers, renewables. So big, big, big players, SOEs, et cetera.

So I think -- we found a way to be more predictive and preemptive in our credit assessment, so building models that have sort of line of sight on predictive cash flow. We're very cash flow based as a bank. We're less asset based. I mean a lot of our LTVs might be already quite low, say, less than 60% of its property, but we're very cash flow based, right? So my first return is always going to be the operating cash of the business. It's not going to be having to sell your asset to pay me back. And that's been the rigor and discipline that we've put in for the last 5 years, and that seems to be working out, especially through COVID and through all these tariff issues.

But I also have to make sure that we're not too overly conservative, right? So the SME guys are working on tight algorithms around program lending, et cetera, which we're going to see so far, for example, in India, when we did some of these program lending, it's worked really well because India, with SME, we have the operating account. We see who they pay. We see how they receive payments. And so we are very on the ball on what the cash flows are for SME. So that's good. And as I said, with the large corporates, I'm comfortable that we've deepened our relationship with the key big players in the region. So these are all large corporates, and they have multiple cash flows. So I hope we are not being too conservative is the honest feedback. But I'm comfortable with the stress test, Melissa, I don't think we've missed anything. And if we did, our GP reserve of \$2.6 billion should be more than sufficient. The overlay, the GP overlay should be more than sufficient if we miss anything, touch wood. But I don't think we have is my honest answer.

Wei Yi Kuang*Goldman Sachs Group, Inc., Research Division*

Good. That's good to hear. Then just lastly, just very quickly on the hedges. You said that it's 3-year duration. So when the Fed kicks in, as you say, you get an advantage. So let's say, if we go into next year, there's still expectations of a few more Fed cuts. But post that, then when the hedges do roll off, does it mean that for next year, we won't see anything, and then the year after then, we'll start seeing some of the NIM pressures come back in as the hedges roll off? Is that correct way of thinking?

Philip Fernandez*Group Corporate Treasurer*

So Melissa, this is Phil again. So the hedges are quite spread out, right? So we have them over a range of tenors. When we quoted it 3 years, that's the average tenor of the U.S. dollar hedges, right? So you should think about it as a certain amount rolling over each year. And the rate at which we replenish depends on a few things because what you quoted was actually the short rate, the policy rate. But remember, there's also a term structure in the government curve. So if that term structure reasserts then you can still get a pickup on redeployment. So it all really depends on what the term structure looks like in 2026, 2027. And everyone on the street will have their own view on what the shape of the curve is going to be. So I hope that gives you some color as to how we do our hedging.

Wei Yi Kuang*Goldman Sachs Group, Inc., Research Division*

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Right. Just to confirm, you have U.S. hedges, U.S. dollar hedges. Do you have Sing dollar hedges and Hong Kong dollar hedges or mainly just U.S. dollar hedges?

Philip Fernandez
Group Corporate Treasurer

U.S. dollar and Sing dollar hedges.

Benton Jing Hung Yick

Thanks, Melissa. We only have time for the last question from Aakash.

Aakash Rawat
UBS Investment Bank, Research Division

This is Aakash from UBS. I'll keep it quick. I just have 3 questions. So the first one is the guidance on the NIM, net floating assets was very clear, SGD 90 billion of floating assets and how the maths work around it. But based on your simulations, as -- again, as the hedges roll off, what is this \$90 billion going to look like, let's say, June end of next year or December end of next year? How does that number change is my first question.

Sok Hui Lim
Chief Financial Officer

I would say, Aakash, that our corporate treasury division is actually very nimble. I think we take a view of rates and then we sort of are flexible with whether we want to do more fixed or more floating. So not really anchored on we must roll off and therefore, we must take fixed. So I think it's a read on the external environment. And what we have proven is that we actually do make good calls, and we are sharing with you the sensitivity so that you can do your own simulation at this point in time.

Su Shan Tan
Group CEO & Executive Director

We know exactly how much matures when and sometimes these hedges were done earlier when rates were actually lower. So when we re hedge them, actually, you have a yield pickup, some were not. So it's -- there is a different time and different rates. So it's quite hard for me -- for us to answer it definitively, to be honest. But I would say based on our experience so far and based on our ability to be nimble and ability to kind of catch market sensitivity, I think we've been okay.

Aakash Rawat
UBS Investment Bank, Research Division

I think the reason I'm asking this question is because my understanding was that hedges only delay the NIM transmission. They don't structurally change the NIM transmission that you're going to see. And at this point, obviously, DBS is seeing less NIM compression versus peers because of the hedges. But at some point, this will change, right? Is that not the right way to think about it?

Philip Fernandez
Group Corporate Treasurer

Maybe if I can step in, Aakash. This is Phil, right? So remember that when you think about NIM, that is really a function of the installed base. And as we deploy surplus deposits and a big chunk of that is going into HQLA, as Sok Hui mentioned earlier, we're getting margins above 1% on those deposits. So it's going to blend down the NIM. And that's why NIM doesn't pay dividends, right? NII pays dividends. So we are focused very much on NII growth. And the NIM may come up, but the ROE will go high because you're taking deposits, making a margin of 1-odd percent in terms of deployment. And the risk weights on that, and this goes back a little bit to the earlier question on CET1, you will not see such a downdraft on RWA because as what Su Shan said, we're putting it into HQLA. So I hope that gives you some color on how we think about it.

Aakash Rawat
UBS Investment Bank, Research Division

Understood. The second one is just on Hong Kong CRE. So as you might have seen some of the Hong Kong banks started booking more provisions for the CRE exposures. Just wanted to check like how has your thinking evolved on it? If you could specifically comment on New World, which you have talked about in the past? And if you could talk about the provision coverage that you have on the Hong Kong CRE book -- commercial CRE book.

Su Shan Tan*Group CEO & Executive Director*

So the Hong Kong CRE book is about \$12 billion -- sorry, \$17 billion exposure, \$12 billion in mixed-use, \$3 billion in office and \$2 billion in retail. And it's mostly in the large names, the large top-tier blue-chip names and the LTV is less than 60%. A lot of what we've seen in terms of the pain has come from the mid-cap and SME sector. And as you know, we had some provisions for that in the last year or so. But we managed to -- actually, all those that we had to -- that we had NPAs, we managed to sell and we managed to recover. So there is liquidity in the market. It's just that the prices have to be realistic. Having said that, though, I think when I look at the names of our current exposure, I'm quite comfortable all these guys got strong cash flows. They're all conglomerates, big names and blue chips, and they're all hunkering down. But I think they're going to be all right.

Aakash Rawat*UBS Investment Bank, Research Division*

Does that also mean that you don't have actually made any provisions for this book, the blue chip names at this point?

Sok Hui Lim*Chief Financial Officer*

So you're not coming across very clearly. Are you asking whether for the real estate sectors in China and Hong Kong, do we set aside sort of additional general provisions?

Aakash Rawat*UBS Investment Bank, Research Division*

Yes. Do you have provisions for commission?

Sok Hui Lim*Chief Financial Officer*

Yes. So it's part of the overlay that we set aside as well.

Aakash Rawat*UBS Investment Bank, Research Division*

Okay. Understood. And then just the last question is on the sudden pickup in the net new money that you saw. Again, trying to understand where -- what caused this shift from \$4 billion, \$5 billion, \$6 billion to \$9 billion. And I think what you're suggesting is this can actually sustain at this level because there are structural drivers behind it.

Shee Tse Koon

Sorry, you're saying the net new money?

Su Shan Tan*Group CEO & Executive Director*

The \$9 billion net new money. It was \$9 billion this quarter as opposed to \$5 billion to \$6 billion we normally get. Is it sustainable? Or was it like a spike or one-off?

Shee Tse Koon

Okay. So I do think that it should be sustainable. I look at it more from an annual basis, right, rather than a quarterly basis, to be fair because there are times when the movement of funds will be affected by various kinds of activities from the underlying clients because sometimes they have a monetization event in their businesses, et cetera. So if I look at it on an annual basis, I think the kind of numbers we have seen on an annual basis should be something that's sustainable.

Philip Fernandez*Group Corporate Treasurer*

So as a reminder, Aakash, we've done above \$20 billion on an annual basis for the last few years. There can be volatility quarter-to-quarter, but Tse Koon is referencing the annual run rate.

Shee Tse Koon

Correct. So yes, so we are looking like \$20 billion-ish kind of a number annually. I think that is something sustainable.

Benton Jing Hung Yick

Thanks, Aakash. Okay. That's about all the time we have. Thanks, everyone, for dialing in. We'll see you next quarter.

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